

to use other people's money to buy properties rather than having to save your after-tax income to build wealth.

The major tax advantage of investing in real estate rental properties is depreciation, a “paper expense” that is allowed by the IRS for accounting purposes. US tax law requires residential rental real estate to be depreciated over twenty-seven and a half years. This gives you an annual deduction on your tax form that offsets some taxable income that year, decreasing your tax bill. The additional tax benefit of real estate investments provides another way to spend less on taxes, allowing you to save more and accelerate the path to FI.

The Simple Math of Real Estate

We refer to using index fund investing as the simple path to investing because it is passive and requires minimal effort. This implies that starting a business and investing in real estate are complex ventures. In some ways, this is true. During the accumulation phase, business and real estate paths require more thought and effort than passive index fund investing.

As we approach FI, the simple path becomes more complex. We use the 4% Rule to determine how much you need to be FI when